08 Nov 2026 12:20:04 ET | 15 pages

Vanguard International Semi. (5347.TWO)

Tight mature-node supply persists; AI structural demand remains solid

CITI'S TAKE

Vanguard (VIS) hosted 3Q26 earnings call with a solid 3Q26 result. 3Q26 earnings at NT$3.1bn (up 4% QoQ and 82% YoY), GM/OPM at 33.6%/22.1%, beating expectation. The chairman acknowledged growing concerns over the pace of AI infrastructure deployment and regulatory scrutiny following the US midterm elections. However, he emphasized that none of these concerns fundamentally challenge the need for AI computing capacity, suggesting that AI demand remains structurally irreversible. Vanguard's 8-inch capacity remains supply-constrained, while its Singapore 12-inch fab is substantially committed ahead of the 2027 ramp-up. Management therefore sees a potential slowdown in AI deployment as a normalization of growth rather than a demand downturn, with limited near-term implications for Vanguard's capacity utilization and expansion plans.

Result beat, outlook better — VIS remains optimistic about the mature-node foundry outlook, supported by sustained demand for PMIC, discrete devices and AI-related applications. Management indicated that customer demand continues to exceed available capacity, with order visibility extending approximately four months. Despite concerns over AI infrastructure spending, management believes AI computing demand remains structurally irreversible, although a more balanced and sustainable growth trajectory would benefit the broader semiconductor industry. The company's 8-inch utilization has already exceeded 90%, with management targeting further efficiency improvements and capacity upgrades to address supply shortages. For 4Q26, wafer shipments are guided to increase 0–2% QoQ with ASP up 3-5%, and GM to be at 34-36%, better than expected.

Singapore VSMC to start mass production in 1Q27; full UTR with interposer providing GM upside — VSMC officially opened in September 2026 and remains on schedule for mass production in 1Q27. Management reiterated that all planned capacity has already been committed by customers, providing strong visibility for the ramp-up. VSMC will support mature-node specialty technologies, including PMICs, analog products and AI-related interposers. Separately, Vanguard continues to invest in its existing 8-inch operations through equipment upgrades and capacity optimization. 2026 capex unchanged at NT$60-70bn (see our report on VSMC Opening).

Buy

Price (06 Nov 26 15:00)	NT$120.00
Target price	NT$160.00↓
from NT$185.00	
Expected share price return	33.3%
Expected dividend yield	5.9%
Expected total return	39.2%
Market Cap	NT$225,420M
	US$6,814M

Price Performance
(RIC: 5347.TWO, BB: 5347 TT)



Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	7,046	4.27	-4.0	28.1	3.3	12.3	3.7
2025A	7,908	4.25	-0.4	28.2	2.7	10.4	3.7
2026E	11,625	6.03	41.8	19.9	2.5	13.3	4.9
2027E	15,336	7.95	31.8	15.1	2.4	16.5	6.5
2028E	18,560	9.63	21.0	12.5	2.3	19.1	7.8

Source: Powered by dataCentral

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5347.TWO: Fiscal year end 31-Dec						Price: NT$120.00; TP: NT$160.00; Market Cap: NT$225,420m; Recomm: Buy					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	44,055	48,591	59,034	80,651	107,298	PE (x)	28.1	28.2	19.9	15.1	12.5
Cost of sales	-32,122	-34,937	-39,490	-52,279	-71,837	PB (x)	3.3	2.7	2.5	2.4	2.3
Gross profit	11,933	13,654	19,544	28,372	35,461	EV/EBITDA (x)	11.2	10.7	9.4	5.9	3.6
Gross Margin (%)	27.1	28.1	33.1	35.2	33.0	FCF yield (%)	-2.6	-18.6	-14.7	22.2	16.9
EBITDA (Adj)	**15,578**	**16,231**	**21,550**	**33,201**	**45,646**	Dividend yield (%)	3.7	3.7	4.9	6.5	7.8
EBITDA Margin (Adj) (%)	35.4	33.4	36.5	41.2	42.5	Payout ratio (%)	105	105	97	98	98
Depreciation	-8,467	-8,458	-9,127	-14,885	-23,640	ROE (%)	12.3	10.4	13.3	16.5	19.1
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**7,111**	**7,773**	**12,423**	**18,317**	**22,005**	EBITDA	15,578	16,231	21,550	33,201	45,646
EBIT Margin (Adj) (%)	16.1	16.0	21.0	22.7	20.5	Working capital	-817	-922	-4,358	-6,321	-5,262
Net interest	1,665	1,484	987	-40	156	Other	-3,992	21,336	-801	79,434	48,731
Associates	-15	93	-258	0	0	**Operating cashflow**	**10,770**	**36,645**	**16,391**	**106,314**	**89,115**
Non-Op/Except/Other Adj	-10	-100	491	200	200	Capex	-16,004	-78,186	-50,367	-55,000	-50,000
Pre-tax profit	**8,752**	**9,251**	**13,643**	**18,477**	**22,361**	Net acq/disposals	0	0	0	0	0
Tax	-1,705	-1,480	-2,279	-3,141	-3,801	Other	-2,586	-1,349	322	0	0
Extraord./Min.Int./Pref.div.	-1	137	261	0	0	**Investing cashflow**	**-18,590**	**-79,535**	**-50,046**	**-55,000**	**-50,000**
Reported net profit	**7,046**	**7,908**	**11,625**	**15,336**	**18,560**	Dividends paid	-7,375	-8,400	-8,303	-11,043	-14,569
Net Margin (%)	16.0	16.3	19.7	19.0	17.3	**Financing cashflow**	**37,940**	**24,283**	**11,051**	**-14,226**	**-16,387**
Core NPAT	7,046	7,908	11,625	15,336	18,560	**Net change in cash**	**30,120**	**-18,607**	**-22,604**	**37,088**	**22,728**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**-5,235**	**-41,541**	**-33,976**	**51,314**	**39,115**
Reported EPS ($)	4.27	4.25	6.03	7.95	9.63						
Core EPS ($)	4.27	4.25	6.03	7.95	9.63						
DPS ($)	4.50	4.45	5.88	7.76	9.39						
CFPS ($)	6.53	19.72	8.51	55.15	46.22						
FCFPS ($)	-3.17	-22.35	-17.64	26.62	20.29						
BVPS ($)	36.79	44.77	48.45	50.74	52.86						
Wtd avg ord shares (m)	1,650	1,858	1,926	1,928	1,928						
Wtd avg diluted shares (m)	1,650	1,858	1,926	1,928	1,928						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	15.1	10.3	21.5	36.6	33.0						
EBIT (Adj) (%)	23.2	9.3	59.8	47.4	20.1						
Core NPAT (%)	-4.4	12.2	47.0	31.9	21.0						
Core EPS (%)	-4.0	-0.4	41.8	31.8	21.0						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	57,820	39,076	16,028	53,117	75,845						
Accounts receivables	6,235	6,748	9,390	12,848	15,891						
Inventory	6,221	6,937	9,121	12,479	15,434						
Net fixed & other tangibles	55,230	124,335	166,498	206,613	232,973						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	23,384	23,556	24,108	29,973	35,136						
Total assets	**148,889**	**200,652**	**225,145**	**315,030**	**375,279**						
Accounts payable	1,416	1,724	2,193	2,687	3,424						
Short-term debt	0	10,520	14,663	11,481	9,663						
Long-term debt	0	0	0	0	0						
Provisions & other liab	78,622	104,635	117,277	205,558	262,897						
Total liabilities	**80,039**	**116,879**	**134,133**	**219,725**	**275,984**						
Shareholders' equity	68,667	83,590	91,012	95,304	99,295						
Minority interests	0	0	0	0	0						
Total equity	**68,667**	**83,590**	**91,012**	**95,304**	**99,295**						
Net debt (Adj)	**-57,820**	**-28,556**	**-1,365**	**-41,636**	**-66,182**						
Net debt to equity (Adj) (%)	-84.2	-34.2	-1.5	-43.7	-66.7						

For definitions of the items in this table, please click here.

Pricing outlook in the upward trend

Management remains constructive on the pricing environment as mature-node supply continues to tighten. VIS emphasized its preference for negotiated price adjustments rather than aggressively exploiting supply shortages, aiming to maintain sustainable customer relationships. Importantly, more LTAs will expire in 2027 than in 2026, creating additional opportunities for contract repricing. In our view, the supply-demand environment remains favorable for further pricing improvements, although the magnitude and timing remain uncertain.

AI Revenue Contribution to Exceed 10% in 2026, With Further Expansion in 2027

AI-related demand is becoming an increasingly important growth driver for VIS, particularly across PMICs and discrete power devices used in data centers. Management estimated that AI-related applications contributed a high-single-digit percentage of revenue in 2025, rising to slightly above 10% in 2026, with further increases expected in 2027. The company anticipates additional market share gains in both PMICs and discrete devices as integrated device manufacturers increasingly outsource production to foundries. The Singapore 12-inch fab will further expand Vanguard's exposure to AI-related technologies, including interposers and advanced power management applications. We believe its AI related revenue could reach 20-30% in 2027 and that should support a more favorable product mix and reduce dependence on consumer electronics.

Given more favorable product mix and ASP trend, as well as interposer revenue contribution, we lift our 2027/2028 EPS by 7%/5%. We maintain our Buy rating with lower TP at NT$160, based on lower PER of 20x of our 2027 EPS estimate (lowered from 25x), reflecting potential policy and macro uncertainties.

Figure 1. Vanguard – 3Q26 results comparison

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	15,702	14,245	10%	12,349	27%	15,837	-1%	15,385	2%
Gross profit	5,283	4,604	15%	3,312	60%	5,321	-1%	5,148	3%
Gross margin	33.6%	32.3%	+1.3 ppt	26.8%	+6.8 ppt	33.6%	+0.0 ppt	33.5%	+0.2 ppt
Op. profit	3,470	2,901	20%	1,832	89%	3,342	4%	3,339	4%
OP margin	22.1%	20.4%	+1.7 ppt	14.8%	+7.3 ppt	21.1%	+1.0 ppt	21.7%	+0.4 ppt
Net income	3,099	2,975	4%	1,703	82%	2,883	7%	2,967	4%
EPS (NT$)	1.61	1.54	4%	0.91	76%	1.50	7%	1.58	2%

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Source: Citi Research, Bloomberg

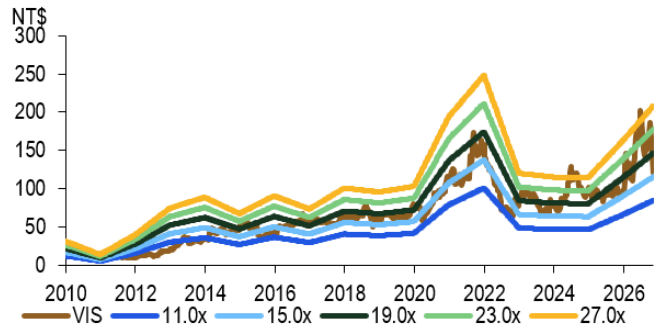
Figure 2. Vanguard – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	59,034	59,310	0%	80,651	78,094	3%	107,298	89,205	20%
YoY growth	21%	22%		37%	32%		33%	14%	
Gross profit	19,544	19,530	0%	28,372	26,756	6%	35,461	31,710	12%
Opex	7,121	7,304	-3%	10,055	9,744	3%	13,456	10,916	23%
Operating profit	12,423	12,226	2%	18,317	17,012	8%	22,005	20,794	6%
Pre-tax profit	13,643	13,414	2%	18,477	17,161	8%	22,361	21,138	6%
Net income	11,625	11,352	2%	15,336	14,243	8%	18,560	17,545	6%
EPS (NT$)	6.03	5.91	2%	7.95	7.41	7%	9.63	9.13	5%
Gross margin	33.1%	32.9%	+0.2 ppt	35.2%	34.3%	+0.9 ppt	33.0%	35.5%	-2.5 ppt
Opex ratio	12.1%	12.3%	-0.3 ppt	12.5%	12.5%	-0.0 ppt	12.5%	12.2%	+0.3 ppt
Operating margin	21.0%	20.6%	+0.4 ppt	22.7%	21.8%	+0.9 ppt	20.5%	23.3%	-2.8 ppt
Net margin	19.7%	19.1%	+0.6 ppt	19.0%	18.2%	+0.8 ppt	17.3%	19.7%	-2.4 ppt

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Source: Citi Research, Bloomberg

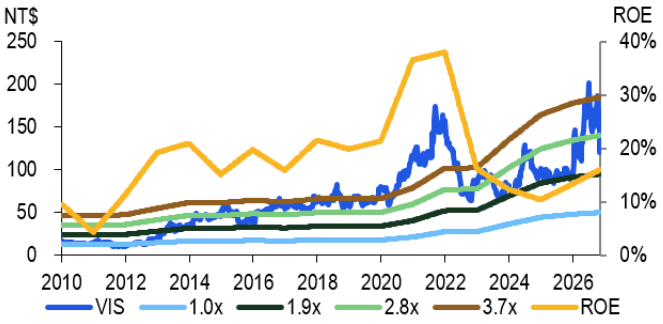
Figure 3. Vanguard – Forward P/E band



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Source: Citi Research

Figure 4. Vanguard – Forward P/B band & ROE



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Source: Citi Research

Figure 5. Vanguard – Forecast summary

	2025				2026				2027							
Unit: NT$mn	*1Q*	*2Q*	*3Q*	*4Q*	*1Q*	*2Q*	*3Q*	*4QE*	*1QE*	*2QE*	*3QE*	*4QE*	*2025*	*2026E*	*2027E*	*2028E*
Revenue	11,949	11,699	12,349	12,594	12,532	14,245	15,702	16,556	17,448	19,006	21,547	22,651	48,591	59,034	80,651	107,298
COGS	8,352	8,419	9,037	9,129	8,861	9,640	10,419	10,570	11,210	12,628	14,075	14,366	-34,937	-39,490	-52,279	-71,837
Gross Profit	3,597	3,280	3,312	3,465	3,671	4,604	5,283	5,985	6,238	6,378	7,472	8,285	13,654	19,544	28,372	35,461
Operating Expense	1,359	1,384	1,480	1,658	1,584	1,704	1,813	2,020	2,268	2,376	2,693	2,718	-5,880	-7,121	-10,055	-13,456
EBIT	2,238	1,897	1,832	1,807	2,087	2,901	3,470	3,966	3,969	4,002	4,778	5,566	7,773	12,423	18,317	22,005
Net Interest Income	473.4	390.6	307.0	313.5	325.2	331.2	215.5	115.5	15.5	-34.5	14.5	-35.5	1,484.5	987.4	-40.0	156.0
Net Other Income	-36.8	94.5	-39.7	-25.1	24.8	81.2	76.5	50.0	50.0	50.0	50.0	50.0	-7.1	232.5	200.0	200.0
Pre Tax Profit	2,675	2,382	2,099	2,095	2,437	3,313	3,762	4,131	4,035	4,018	4,843	5,581	9,251	13,643	18,477	22,361
Tax Expense/(Credit)	269	369	414	429	273	420	760	826	686	683	823	949	-1,480	-2,279	-3,141	-3,801
Net Profit	2,414	2,043	1,703	1,748	2,246	2,975	3,099	3,305	3,349	3,335	4,020	4,632	7,908	11,625	15,336	18,560
EPS (NT$)	1.30	1.10	0.91	0.94	1.17	1.54	1.61	1.71	1.74	1.73	2.09	2.40	4.25	6.03	7.95	9.63
Margins (%)																
Gross Margin	30.1	28.0	26.8	27.5	29.3	32.3	33.6	36.2	35.8	33.6	34.7	36.6	28.1	33.1	35.2	33.0
Operating Margin	18.7	16.2	14.8	14.3	16.7	20.4	22.1	24.0	22.8	21.1	22.2	24.6	16.0	21.0	22.7	20.5
Net Margin	20.2	17.5	13.8	13.9	17.9	20.9	19.7	20.0	19.2	17.5	18.7	20.5	16.3	19.7	19.0	17.3
Sequential Growth (%)																
Volume	10	7	4	-7	3	11	5	1	2	4	6	-2	16	12	13	3
Revenue	3	-2	6	2	0	14	10	5	5	9	13	5	10	21	37	33
Gross Profit	9	-9	1	5	6	25	15	13	4	2	17	11	14	43	45	25
EBIT	16	-15	-3	-1	15	39	20	14	0	1	19	16	9	60	47	20
Net Profit	31	-15	-17	3	29	32	4	7	1	0	21	15	12	47	32	21

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Source: Citi Research, Company Reports

Bull/Bear: Vanguard International Semi. (5347.TWO)

NT$200.00	NT$160.00	NT$100.00
▲67% Upside	▲33% Upside	▼17% Downside



Spread 83pp
Current Price and expected returns (upside/downside) as of 06 Nov 2026

BULL Assumptions

- Better-than-expected PMIC and consumer demand
- Shorter learning curve and higher utilization ramp for the Singapore fab

BASE Assumptions

- Robust sales gowth with some GM pressure from increasing depreciation
- Some margin impact from the Singapore fab

BEAR Assumptions

- Worse-than-expected 8-inch recovery
- Weaker-than-expected PMIC growth

Vanguard International Semi.

Company description

Vanguard International Semiconductor Corporation (VIS) is a specialty IC foundry service provider, with existing capacity mainly focused on 8-inch. VIS offers a wide range of process technologies, including high voltage, ultra-high voltage, and BCD. In 2024, VIS and NXP Semiconductors established the VSMC joint venture in Singapore, with its first 12-inch fab set to begin initial production in 2027.

Investment strategy

We rate Vanguard a Buy as we expect it to benefit from robust PMIC sales momentum, driven by strong AI demand and improving industrial demand. VIS is gaining market share in PMIC as clients are looking for non-Chinese suppliers. Moreover, we believe VIS should benefit from transfer orders from TSMC on the 8-inch wafer process. We think VIS has already passed its trough and expect a gradual recovery into 2027.

Valuation

Our target price for VIS of NT$160 is based on 20x 2027E P/E, which we see as justified by its robust PMIC sales growth momentum and increasing outflow order opportunity from TSMC with support from its consistent cash dividend policy. Our target price equates to 2026/27E P/B of 3.8x/3.7x.

Risks

Key downside risks to our target price include: 1) weaker 8-inch demand along with higher costs due to inflation or more severe ASP competition from Chinese peers; 2) lower UTR of the new capacity at the newly acquired fab, with depreciation burden; and 3) less-than-expected outsourcing opportunities from IDMs.

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Appendix A-1

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IMPORTANT DISCLOSURES

Vanguard International Semi. (5347.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	25-Jan-24 18:23:32	3	*47.22	75.06
2	30-Apr-24 07:23:56	*2	*92.47	84.60
3	30-Jul-24 09:32:19	2	*114.11	118.05
4	05-Nov-24 10:33:28	2	*92.00	93.60
5	21-Mar-25 15:53:47	*1	*112.00	95.20
6	29-Jul-25 09:19:50	1	*107.00	95.10
7	25-Sep-25 09:04:47	1	*125.00	101.50
8	04-Nov-25 06:36:27	1	*115.00	98.70
9	23-Jan-26 10:47:04	1	*165.00	146.50
10	03-Feb-26 07:44:06	1	*150.00	135.50
11	05-May-26 08:26:59	1	*170.00	154.00
12	04-Aug-26 10:02:44	1	*185.00	154.50

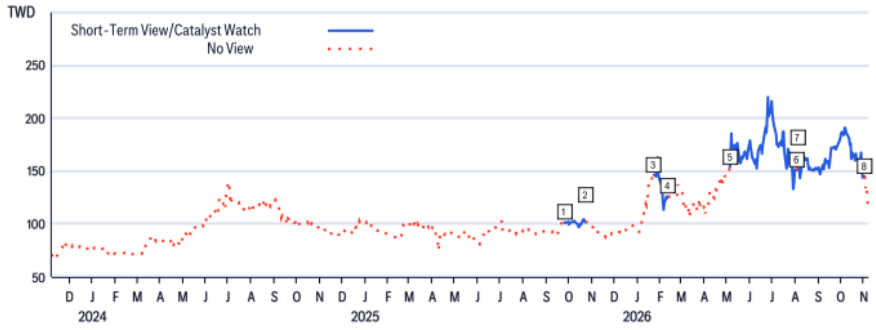
*Indicates Change

Rating/target price changes above reflect Eastern Time

Vanguard International Semi. (5347.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	25-Sep-25 05:04:47	Add STV	Upside	30 Days	101.50
2	24-Oct-25 14:20:21	Remove STV	Upside	30 Days	101.50
3	23-Jan-26 05:47:04	Add STV	Upside	30 Days	146.50
4	22-Feb-26 20:01:25	Remove STV	Upside	30 Days	126.00
5	05-May-26 04:26:59	Add STV	Upside	90 Days	154.00
6	03-Aug-26 22:05:45	Remove STV	Upside	90 Days	151.00
7	04-Aug-26 06:02:44	Add STV	Upside	90 Days	154.50
8	02-Nov-26 20:04:34	Remove STV	Upside	90 Days	145.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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